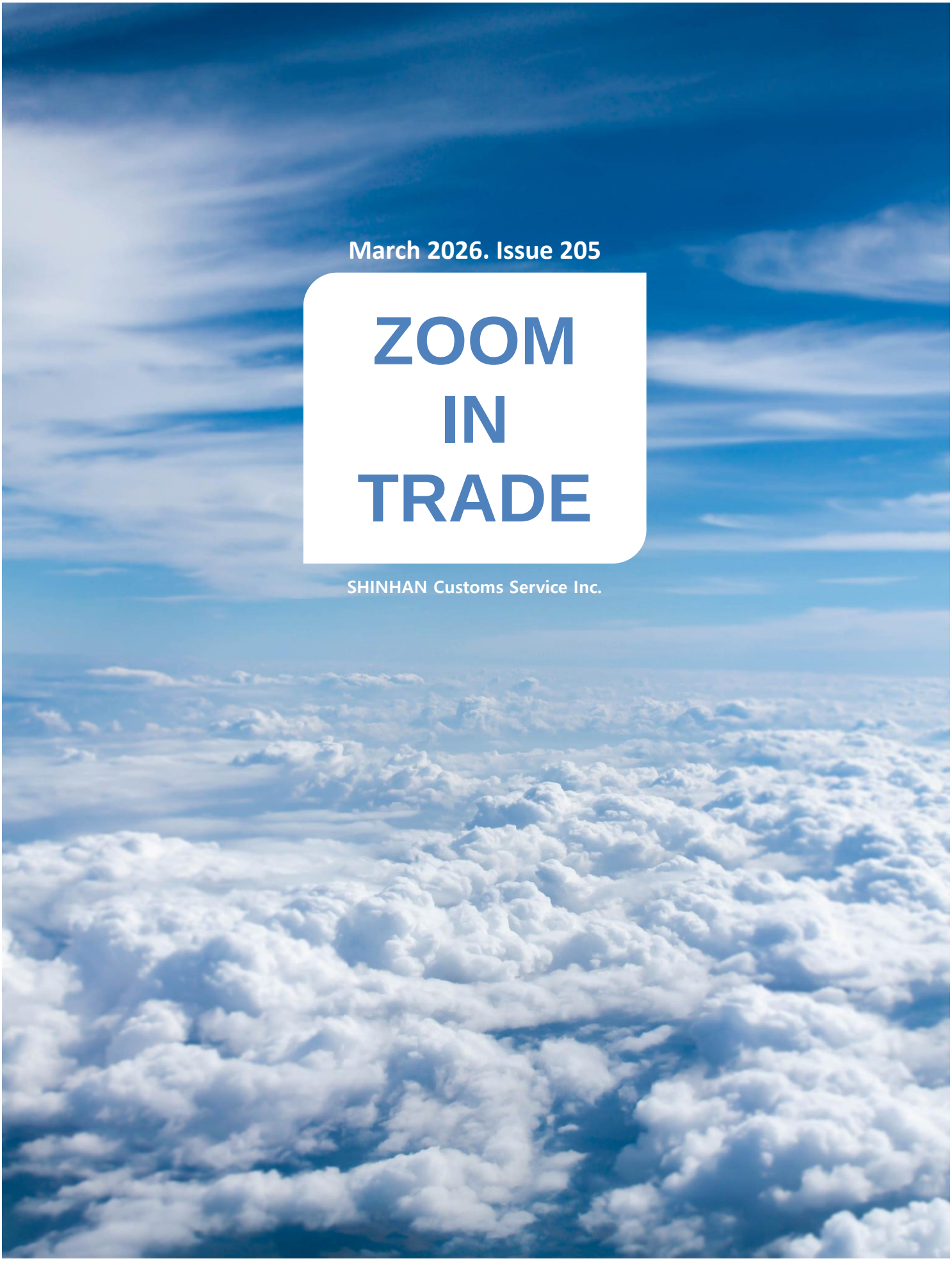

March 2026. Issue 205

ZOOM IN TRADE

SHINHAN Customs Service Inc.

Where Is Grace Chang?

03 ··· Lower You Go, Taller the Trees

Ideal and Reality

05 ··· Reform of the Tariff Quota System and Market Intervention – We Must Not Rush

Analysis on Recent Customs Judicial Precedent

09 ··· Determination of the Timing of Importation for Goods Brought into Korea under the Customs Act

HS case solved by logic

12 ··· Distinguishing Handbags (HS 4202.22) from Other Bags (HS 4202.92)

Global Customs Insight

14 ··· [Response Strategies for U.S. Reciprocal Tariff Invalidation and Re-imposition (Plan B)]

FTA and import/export practical business guide

17 ··· Effectuation of the Amendment to the "Free Trade Agreement Between the Republic of Korea and the United Kingdom"

Contents and Opinion of Customs Trade Amendment

20 ··· Partial Amendment to the Notice on the Management of Bonded Goods

Where Is Grace Chang?

Lower You Go, Taller the Trees

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CEO/Customs consultant

“It benefits all things without competing, without boasting, and without seeking attention.”

In Sedona, Arizona, the landscape is shaped by towering red rock mountains and deep valleys. As you walk along desert trails lined with cacti and shrubs, the path occasionally reveals a striking contrast below: in the valley floor, tall trees grow with abundant leaves, nourished by a small creek that quietly flows through the canyon.

At first glance, the stream seems modest. Yet it carries water gathered from melting snow in the mountains and rain that gradually finds its way downward. Over time, this water enriches the soil and sustains life. That is why the largest and healthiest trees grow not on the high ridges, but in the valley where water collects.

*Ideal and Reality for this month is **‘Reform of the Tariff Quota System and Market Intervention – We Must Not Rush’**, Analysis on Recent Customs Judicial Precedent covers **‘Determination of the Timing of Importation for Goods Brought into Korea under the Customs Act’**, and HS case solved by logic reports ‘「**Distinguishing Handbags (HS 4202.22) from Other Bags (HS 4202.92)’**, Global Customs Insight is **‘[Response Strategies for U.S. Reciprocal Tariff Invalidation and Re-imposition (Plan B)]’** and FTA and import/export practical business guide is **‘Effectuation of the Amendment to the “Free Trade Agreement Between the Republic of Korea and the United Kingdom”’**, Contents and Opinion of Customs Trade amendment Covers **‘Partial Amendment to the Notice on the Management of Bonded Goods.***

Established 1965
SHINHAN
SHINHAN Customs Service Inc.

Nature reminds us of a simple truth: **water flows to the lowest places.**
In Eastern philosophy, water is often seen as a symbol of the highest virtue. It benefits all things without competing, without boasting, and without seeking attention. By settling quietly in the lowest places, it nourishes trees, sustains wildlife, and supports entire ecosystems.
In our lives and work, we often strive to reach higher ground—greater success, recognition, and achievement. Yet nature shows us another perspective. The places where resources gather, where people support one another, and where roots can grow deep are often the places where the strongest and most enduring growth begins.

There is a saying often attributed to Martin Luther:
"Even if I knew that tomorrow the world would go to pieces, I would still plant my apple tree today."
It reflects the quiet confidence of those who know where their roots lie, and who choose to invest in the future with steady commitment.

At **Shinhan Customs**, we believe growth is not only about reaching higher, but also about building deeper foundations—trust, partnership, and service that support our clients and communities. Like trees beside a stream, we hope to grow together with our partners, creating a resilient and sustainable ecosystem for global trade.

Because in the end, the strongest forests often begin in the valleys where life quietly gathers and grows.

Best Wishes

Ideal and Reality

Reform of the Tariff Quota System and Market Intervention – We Must Not Rush

– Issues Surrounding the Operation of Tariff Quotas –

The government has been utilizing the tariff quota system more extensively and more frequently than ever before as a key instrument to respond to rising prices. Starting with pork in June 2022, the scope has expanded indiscriminately beyond major livestock products such as beef and chicken to include bananas, carrots, radishes, Chinese cabbage, cabbage, and even orange or pineapple juice. In particular, when the prices of apples or pears rise, the government intervenes in the market by lowering tariffs by up to 30% on tropical fruits that ordinary consumers rarely encounter in everyday markets, such as mandarins, durians, mangoes, and avocados. At this point, it is necessary to calmly assess whether such "all-directional tariff quotas" are truly a sustainable measure to stabilize prices, or whether they are becoming a poison that undermines the healthy ecosystem of the market.

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1. The Problem of Hasty Intervention that Ignores Market Reality

Government intervention has been excessively rapid and unilateral. When the autumn cabbage harvest is temporarily poor due to extreme heat and prices surge, the government creates an atmosphere of fear as if cabbage prices alone could devastate household kimchi-making costs and the livelihoods of ordinary citizens, and then imports large quantities of foreign cabbage. However, in an open economy, consumers possess a natural capacity for self-adjustment even without government intervention. They can consume imported kimchi, wait a month or two for newly harvested cabbage, or switch consumption to other vegetables. If apples and pears become expensive, consumers can simply choose substitutes such as mandarins or strawberries.

In fact, rising import prices may provide domestic farmers and livestock producers with an opportunity to recover previous losses and increase their income, which could also have the positive effect of reducing government subsidy expenditures for farmers. However, when the government artificially suppresses prices with the "shield" of tariff quota reductions, market price signals become distorted and farmers' incentives to produce are weakened. In the end, hasty intervention driven by short-term "perceived price stability" metrics undermines the long-term functioning of the market.

2. The Illusion and Contradiction of the "Excessive Profit" Narrative

When prices do not immediately decline after tariff quotas are implemented, the government tends to assume that importers are capturing the tariff reductions and taking "excessive profits." This assumption is based on an overly simplistic arithmetic logic: if tariffs fall, import costs decrease, and therefore sales prices should fall by the same amount. However, real markets do not operate so simply. Agricultural and livestock markets consist of numerous competing importers. Even if a particular company attempted to monopolize the tariff reduction benefit, competing firms lowering their prices would ultimately bring market prices down.

In fact, statistics on corporate profits before and after the implementation of tariff quotas in 2022 show many cases where profits actually declined, directly contradicting the government's claim that importers are taking windfall profits. Moreover, retail prices are determined by multiple factors, including international market prices, high exchange rates,

sharply rising international freight costs following COVID-19, labor costs, and the fragmented and complex domestic distribution structure. Tariff quotas often function merely as a defensive measure to restrain price increases rather than to directly reduce prices. Blaming market participants without analyzing these structural causes amounts to a "performative pursuit of responsibility" that ultimately obstructs genuine solutions. Furthermore, the government simultaneously suppresses prices through tariff quotas while expanding fiscal spending that fuels inflationary pressure, creating a policy contradiction.

3. The "40-Day Trap" Created by Administrative Convenience and Lack of Expertise

A serious issue lies in the inexperience and administrative convenience of the recommending organizations responsible for implementing the system. Recently, the government has attempted to expand the requirement that imported livestock products must be removed from bonded warehouses within 40 days to cover all relevant items. However, livestock products have different storage characteristics depending on whether they are frozen or chilled, and consumption patterns vary significantly by cut. Imposing a uniform requirement that all products be sold within 40 days demonstrates a lack of understanding of actual market conditions.

More troubling is that even if only 10 kg of inventory remains unsold—unless caused by force majeure—the entire tariff quota benefit for that year may be retroactively revoked, resulting in the collection of hundreds of billions of won in additional duties. Such a measure directly violates the principle of proportionality in administrative law. In addition, the allocation of quotas on a first-come-first-served basis encourages excessive competition and dumping among importers, while shifting all resulting losses and retroactive duty risks onto the importing companies.

Organizations responsible for recommending imports and conducting post-management—such as the Korea Meat Processing Association and the Korea Meat Export Association—lack the capability to establish detailed operational guidelines under the Administrative Basic Act. Nevertheless, they continue to collect recommendation fees while aggravating market confusion. Without even adequate procedures for public notice or consultation, they simply demand that import companies comply with the 40-day rule.

4. The Policy Principle of an "Open Society": Absence of Criticism and Revision

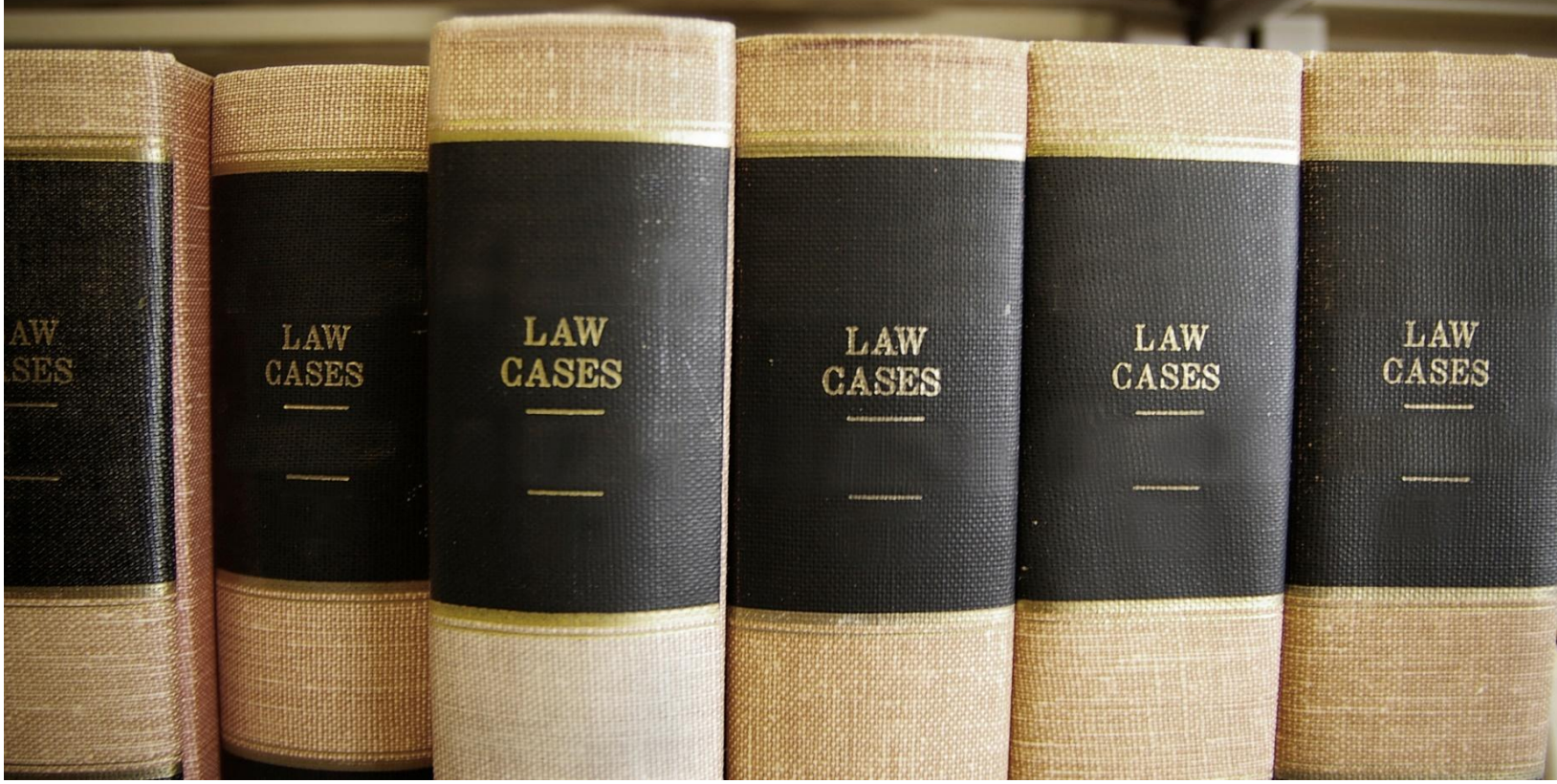
Political philosopher Karl Popper argued that, acknowledging the imperfection of human knowledge, policies should be pursued through a process of "piecemeal social engineering" consisting of implementation, evaluation, and revision. No policy can ever be a perfect answer, and gradual adjustment through open criticism is essential. However, the current tariff quota policy appears to operate within a closed policy structure, where regulations are created and implemented rapidly following a single presidential remark without meaningful debate or opposition.

Policy design must assume the possibility of failure and ensure a decision-making structure in which diverse opinions and criticism can be raised in a timely manner. Rather than repeatedly applying rapid remedies whenever prices become uncomfortable, there should be transparent procedures to examine what signals current interventions distort and what side effects they produce. Only when institutional channels exist for delivering even inconvenient opinions to policymakers can a policy truly belong to an "open society."

5. Conclusion: Restoring Principles that Respect Market Functions

For the tariff quota system to function properly, three principles must be restored. First, respect for the price mechanism of the market. Second, caution against excessive policy speed. Third, a transparent decision-making structure that allows checks and open debate.

The government should redesign the detailed operational guidelines for livestock tariff quota recommendations in accordance with the Administrative Basic Act and revise the excessive retroactive duty collection provisions that violate the principle of proportionality. In addition, a comprehensive review of recommending institutions whose administrative capabilities remain unverified, along with measures to strengthen professional expertise, is urgently required. Rather than viewing the market as an object to be controlled and pressured, the government should pursue price stabilization through rational institutional design and healthy communication with market participants. Policies lacking clear principles ultimately impose costly consequences on both the public and the market. If prices rise, consumers should be allowed to respond through their own choices; government intervention should therefore proceed more cautiously.



Analysis on Recent Customs Judicial Precedent

Determination of the Timing of Importation for Goods Brought into Korea under the Customs Act

1. Case Overview

- On April 30, 2021, Company OOO filed a pre-arrival import declaration for fresh potatoes for chipping imported from a company located in Australia, applying a 0% preferential tariff rate **effective as of that date.**
- The competent head of the customs office imposed customs duties and other taxes on Company OOO, taking the position that a 141.8% preferential tariff rate should be applied based on May 1, 2021, which was the arrival date of the said potatoes.
- This case upheld the lower court's judgment, which held that the 141.8% preferential tariff rate applies based on the point in time after May 1, 2021, when the arrival occurred.

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2. Issue in Dispute

The central issue in this case is the legislative intent underlying Article 249(3)1 of the Enforcement Decree of the Customs Act, which limits the availability of pre-arrival import declarations.

3. Summary of Judgment

(1) Legislative intent of the 'Pre-arrival Declaration' provisions under the Customs Act

The Customs Act stipulates that customs duties shall be levied according to the nature and quantity of the goods at the time the import declaration is made. In principle, the import declaration of goods can be made after the vessel carrying the said goods has entered the port; however, as an exception, a pre-arrival import declaration is permitted only where expedited customs clearance is necessary.

A pre-arrival import declaration is possible from 5 days (1 day for aircraft) before the vessel or aircraft carrying the goods departs from the port or airport where the goods were loaded and enters South Korea. However, for goods subject to a scheduled increase in tariff rates or newly imposed import requirements under applicable statutes, it is stipulated that the import declaration must be made after the vessel, etc., carrying the said goods has arrived in South Korea, rather than through a pre-arrival import declaration.

The purpose of this provision is to prevent the circumvention of higher tariff rates by restricting pre-arrival import declarations when it is anticipated at the time of the pre-arrival declaration that a high tax rate will be applied from the day the goods arrive in South Korea. (Refer to Supreme Court Decision 2009Du22072, sentenced on October 13, 2011)

(2) Judgment

The vessel carrying the potatoes entered the port at approximately 17:06 on May 1, 2021, and Company A filed a pre-arrival import declaration on April 30, 2021, applying a 0% preferential tariff rate for the fresh potatoes for chipping imported from an Australian company based on that same day.

The preferential tariff rate applicable to the potatoes under the Korea–Australia FTA was 0% if the import occurred on or before April 30, 2021, but 141.8% if the import occurred on or after May 1, 2021.
These imported goods were items for which a tax rate increase was scheduled according to the provisions of the Enforcement Decree of the Customs Act (Article 249, Paragraph 3, Item 1), thereby precluding the use of a pre-arrival import declaration. Accordingly, this judgment upheld the original decision that the 141.8% preferential tariff rate should be applied based on the fact that the vessel arrived on May 1, 2021.

4. Practical Implications and Strategies

The pre-arrival import declaration system is a convenience procedure to facilitate the speed of logistics, but its misuse as a means of evading increased tariff rates or newly imposed requirements is strictly prohibited. In particular, to prevent the act of artificially evading the application of high tax rates, goods for which a tax rate increase is anticipated must be declared after the vessel, etc., carrying the said goods has arrived in South Korea.

To prevent unexpected risks of additional customs duty collection, the legal permissibility of a pre-arrival declaration must be carefully reviewed from the pre-declaration stage. It is necessary to ensure legally compliant customs clearance procedures rather than relying on the convenience of the system by closely identifying whether pre-arrival import declaration is possible, considering variables such as tax rate fluctuations and transport delays.

HS case solved by logic

Distinguishing Handbags (HS 4202.22) from Other Bags (HS 4202.92)

Bags classified under HS heading 4202 are among the most frequently disputed products in customs practice. Although many bags appear similar in form, HS classification is not determined by appearance or marketing terms, but by the objective structure, function, and intended use of the product.

Textile bags, in particular, are often perceived as handbags from a consumer perspective. However, under the HS system, handbags are recognized only where specific functional and structural criteria are met. As a result, disputes frequently arise at the boundary between handbags and other bags

조심2025관0007 provides a useful illustration of how such boundary cases should be analyzed based on the WCO Explanatory Notes and HS interpretative principles.

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1. Case Background and HS Codes at Issue

The product at issue was a textile bag designed to be carried by hand or worn over the shoulder or around the waist. Based on its outward appearance, the importer declared the product as a handbag under HS subheading 4202.22, asserting that it was primarily intended for carrying personal effects.

Customs authorities, however, determined that the product was not structurally focused on personal-item storage, but rather designed for general-purpose use with multiple carrying methods. Accordingly, the product was reclassified under subheading 4202.92 as an other bag.

2. Review of the Competing HS Codes

Within heading 4202, subheading 4202.22 covers handbags primarily designed for carrying personal effects, while subheading 4202.92 functions as a supplementary category for bags that do not fall under more specific types. Classification under 4202.22 therefore requires clear evidence that the bag's structure and function are centered on personal-item storage.

3. Reasoning of the Decision

Applying HS interpretative principles, the Tribunal focused on the objective characteristics of the product at importation. According to the WCO Explanatory Notes, handbags are articles designed to carry personal effects such as wallets and cosmetics, normally carried in the hand or on the shoulder.

Given the product's multifunctional carrying design and lack of a structural focus on personal-item storage, the Tribunal concluded that the essential character of the product was that of a general-purpose bag. Accordingly, classification under HS subheading 4202.92 was upheld, and the appeal was dismissed.

4. Practical Implications

This decision underscores that HS classification depends on internationally harmonized definitions and objective product characteristics, rather than appearance or common naming conventions. Importers should therefore carefully review the structure and intended use of bag-type products, particularly where tariff benefits or preferential treatment are involved.

Global Customs Insight

[Response Strategies for U.S. Reciprocal Tariff Invalidation and Re-imposition (Plan B)]

1. OVERVIEW

The global trade environment has reached a major turning point following the U.S. Supreme Court ruling that invalidated the executive branch's broad authority to impose reciprocal tariffs under the International Emergency Economic Powers Act (IEEPA). However, the U.S. administration is responding by immediately invoking **Trade Act §122** to impose new tariffs. Businesses now face a complex situation where they must simultaneously manage two tracks: the **"refund"** of previously paid tariffs and **"response"** to newly imposed ones.

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2. Current Status and Future Outlook of U.S. Tariff Policy

U.S. tariff measures are expected to evolve from short-term emergency actions into mid-to-long-term targeted regulations.

(1) Short-term Measures(Immediate Action)

On February 24, 2026, the White House announced a 10% temporary import surcharge for 150 days.

(2) Mid-to-Long-term Outlook

Once the 150-day limit of §122 expires, the U.S. administration is likely to transition to §301 (Unfair Trade) or §232 (National Security) to design a more robust and long-lasting tariff system.

(3) Granular Risk Assessment by Product

As the approach shifts from global surcharges to targeting specific products (HS Codes) and countries, supply chain risk management will become increasingly critical.

3. Response Checklist by Stakeholder

(1) U.S. Importers (Importer of Record)

- **Identify Refund Data**

Identify and list entry details subject to IEEPA (by Executive Order), including paid duties and liquidation status (unliquidated/liquidated) to finalize refund targets.

- **Select Refund Path**

Monitor U.S. Customs and Border Protection (CBP) guidance and choose the most advantageous path among bulk refund procedures (including legislation), administrative protests, or CIT (Court of International Trade) litigation.

- **Inspect Payment Infrastructure**

Verify **ACE account** and **ACH refund** registration status to prepare for the actual disbursement of electronic refunds.

(2) Korean Exporters

- **Refund Allocation Agreement**

  Immediately execute legal contracts to ensure that refunds received by the Importer of Record (IOR) are remitted or settled with the Korean head office, which bore the actual economic burden.

- **Transfer Pricing (TP) Redesign**

  Avoid blending tariff volatility into margins; instead, separate tariffs from the base cost (**Net cost base**) and settle them through separate accounts.

- Update Contracts

  Essential "two-set" clauses must be included in contracts: a **"Refund Allocation Clause"** and a **"Tariff Reinstatement Clause"** to manage price adjustment mechanisms if tariffs are re-imposed under §301/§232.

4. Future Response Strategies

Tariff refunds are not automatic and require meticulous project-level preparation.

- **HS Code and Supply Chain Review**

  Build a risk map by product (HS 6–10 digits) and simulate changes in duty rates based on Rules of Origin to prepare for the transition to §301/§232.

- **Utilize AI-Based Customs Tools**

  In an era of rapidly changing national laws and customs rulings, use AI technology to pre-screen documents for errors and receive accurate HS code recommendations to minimize compliance risks.

- **Strengthen Government and Agency Channels**

  Prepare for potential additional U.S. regulations on key Korean industries (Automobiles, Batteries, etc.) by proactively sharing data on contributions to U.S. employment and investment with the Korean government.

FTA and import/export practical business guide

Effectuation of the Amendment to the "Free Trade Agreement Between the Republic of Korea and the United Kingdom"

1. Overview

The amendment to the Protocol concerning the definition of 'originating products' and methods of administrative cooperation (hereinafter referred to as the 'Protocol on Rules of Origin') of the Free Trade Agreement between the Republic of Korea and the United Kingdom (hereinafter referred to as the 'Korea-UK FTA') is set to enter into force on December 18, 2025.

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2. Key Provisions

With the entry into force of the amended Protocol on Rules of Origin (Dec 18, 2025), the EU Cumulation exception (Article 3, paragraphs 1 and 2, footnote 1) and the EU Direct Transport exception (Article 13, paragraph 1, footnote 2), which were scheduled to expire this year, have been extended until July 1, 2027. Notably, this extension will terminate on July 1, 2027, or the date of entry into force of the Korea-UK FTA Upgrade Negotiations (concluded on Dec 15, 2025), whichever is earlier.

Summary of Key Extensions:

Extension of EU Cumulation: EU-originating raw materials or processing used in the production of UK goods will continue to be recognized as originating (UK origin) until July 1, 2027.

Extension of EU Direct Transport Exception: Goods sent from the UK to Korea (or vice versa) will be recognized as meeting the direct transport requirement even if they transit through or are transshipped in the EU, allowing them to remain eligible for FTA preferential treatment.

Termination Clause: These exceptions terminate on July 1, 2027, or upon the effectuation of the upgraded FTA negotiations, whichever comes first.

3. Expected Effects and Implications for Companies

1) Benefits for Clients

Supply Chain Stability and Cost Reduction:

Exporting Companies (to the UK): Even if products utilize EU-origin parts, they can more easily qualify as Korean origin, allowing for continued duty-free benefits for UK importers.

Importing Companies (from the UK): FTA application remains possible even if UK suppliers use EU-origin materials, preventing an increase in the import duty burden.

Logistics Efficiency and Cost Optimization: Companies can freely utilize major EU ports or airports (e.g., Rotterdam, Frankfurt) as transit points rather than relying solely on direct routes between the UK and Korea. This contributes to reduced logistics costs and shorter transit times.

Securing Administrative Continuity: By extending regulations that were due to expire, companies can avoid the administrative chaos and costs associated with abruptly modifying origin determination processes or obtaining new Approved Exporter statuses.

2) Risks for Clients

Uncertainty Due to Temporary Nature: This is a provisional extension until July 2027, not a permanent measure. The termination date may be moved forward depending on the effectuation of the upgrade negotiations, requiring continuous monitoring for long-term contracts.

Risk of Abrupt Changes Post-Upgrade: Once the upgrade negotiations (concluded on Dec 15, 2025)—which include measures such as the relaxation of Regional Value Content (RVC) for automobiles—enter into force, new rules of origin will apply. If the scope of EU cumulation is reduced or conditions are changed, companies relying on the current exceptions may face sudden customs duty risks.

Complexity in Documentary Management: To qualify for the 'Direct Transport Exception' during EU transit, companies must rigorously manage evidence (such as Non-Manipulation Certificates) proving the goods remained under customs control. Negligence in documentation despite the extension may lead to penalties or duty collection during post-clearance audits.

4. Outlook

The conclusion of the Korea-UK FTA upgrade negotiations has significantly improved rules of origin for key sectors, notably automobiles (RVC relaxed to 25%), processed foods, and cosmetics. Once the current exceptions expire, it will be essential to transition to a strategy that utilizes these newly eased criteria to maintain FTA benefits.

Contents and Opinion of Customs Trade Amendment

Partial Amendment to the Notice on the Management of Bonded Goods

1. Overview

The "Notice on the Management of Bonded Goods" applies to goods placed in off-dock bonded areas pursuant to Article 156 of the Customs Act, designated storage facilities pursuant to Article 169, and bonded warehouses pursuant to Article 183. The Notice aims to establish efficient procedures for the movement (inbound/outbound) and the storage and management of bonded goods. It provides guidance focusing on the key points of the recent amendments.

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2. Reasons for the Amendment

-To stabilize prices, items subject to tariff-rate quota (TRQ) announcements, among others, are added to the scope of goods subject to removal orders from bonded areas.

-To facilitate logistics, certain items designated as subject to emergency supply-demand adjustment measures and announced by the Commissioner of the Korea Customs Service (KCS) are added to the scope of items subject to surcharges for delayed import or re-export declarations.

-To establish a legal basis for extending or withdrawing approvals for the removal of sample goods.

3 .Key Amendments

(1) Addition of Grounds for Removal Orders for Goods Brought into Bonded Areas (Article 6(1))

-Intended to prevent long-term stockpiling in bonded areas of items requiring domestic market stabilization, such as TRQ-notified goods.

-Items 1 and 2 of paragraph (1) are separated, and Items 3 and 4 are newly added.

BEFORE	Article 6 (Removal Orders) (1) Where goods brought into a bonded area exceed the storage capacity making additional intake difficult, or where there is a risk of damage to bonded goods due to disasters such as typhoons, the head of the customs office may order that such goods be removed to another bonded area.
AFTER	Article 6 (Removal Orders) (1) Where any of the following applies, the head of the customs office may order that goods brought into a bonded area be removed to another bonded area: 1. Where the storage capacity of the bonded area is exceeded, making additional intake difficult (separated); 2. Where there is a risk of damage to bonded goods due to disasters such as typhoons (separated); 3. Where the goods fall under Items 2 through 4 of Article 34(1) and are deemed likely to be hoarded within the bonded area (new) 4. Where the head of the customs office deems removal necessary in consideration of the type, nature, or reason for bringing in the goods (new).

(2)Establishment of Grounds for Extension or Withdrawal of Approvals for the Removal of Sample Goods (Article 30(3))

-New provisions are introduced due to the lack of a legal basis for extending or withdrawing approvals for the removal of sample goods.

NEW	Article 30 (Procedures for the Inbound/Outbound Movement of Sample Goods) (3) Where approval for the removal of sample goods has been granted pursuant to paragraph (1) but an extension is unavoidable due to prolonged inspection or testing (excluding consumable goods), or where certain grounds for cancellation arise, the applicant shall submit an Application (Approval) for Extension/Withdrawal of the Period for Removal of Sample Goods in the prescribed Form No. 28-2 to the head of the customs office. The head of the customs office may extend or withdraw the approval within a period deemed necessary.

(3)Expansion of Items Subject to Surcharges for Delayed Import (Re-export) Declarations (Article 34(1))

-Expansion of the scope of items subject to surcharges for delayed import or re-export declarations to facilitate logistics.

BEFORE	Article 34 (Surcharges) (1) The following goods shall be declared for import or re-export within 30 days from the date of entry. Where an import or re-export declaration is filed after the deadline, a surcharge shall be imposed pursuant to Article 241 of the Act and Article 247 of the Enforcement Decree: 1. Goods brought into the bonded areas listed in Annex 1, including: (a) Designated storage facilities and bonded warehouses at unloading locations at Incheon Airport and Gimhae Airport; (b) Container yards (CY), designated container storage facilities (CY), and container freight stations (CFS) within and outside the wharf unloading areas at Busan Port; (c) Designated storage facilities and bonded warehouses within the wharf at Busan Port; (d) Container yards (CY) and container freight stations (CFS) within and outside the wharf unloading areas at Incheon Port; 2. TRQ-applied goods falling under Article 71(1) subparagraphs 1 or 2 of the Act, as announced by the Commissioner of the KCS; 3. Crisis items designated under Article 29(1) of the Framework Act on Supporting Supply Chain Stabilization for Economic Security, as announced by the Commissioner of the KCS.
AFTER	Article 34 (Surcharges) (1) The following goods shall be declared for import or re-export within 30 days from the date of entry. Where an import or re-export declaration is filed after the deadline, a surcharge shall be imposed pursuant to Article 241 of the Act and Article 247 of the Enforcement Decree: 1. Goods brought into the bonded areas listed in Annex 1, including: (a) Designated storage facilities and bonded warehouses at unloading locations at Incheon Airport and Gimhae Airport; (b) Container yards (CY), designated container storage facilities (CY), and container freight stations (CFS) within

	and outside the wharf unloading areas at Busan Port; (c) Designated storage facilities and bonded warehouses within the wharf at Busan Port; (d) Container yards (CY) and container freight stations (CFS) within and outside the wharf unloading areas at Incheon Port; 2. TRQ-applied goods falling under Article 71(1) subparagraphs 1 or 2 of the Act, as announced by the Commissioner of the KCS; 3. Crisis items designated under Article 29(1) of the Framework Act on Supporting Supply Chain Stabilization for Economic Security, as announced by the Commissioner of the KCS; 4. Items designated as subject to emergency supply-demand adjustment measures under Article 6(1) of the Price Stabilization Act and announced by the Commissioner of the KCS (new).

4. Comments on the Amendments

This amendment strengthens controls to prevent prolonged storage and hoarding of bonded goods and to facilitate smoother logistics. However, reasonable exceptions for unavoidable delays are needed to avoid undue burdens on businesses as the scope of surcharges is expanded..

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